



Relative Strength Analysis



Topics we will cover:

- DXY Market Profile
- Major Trifecta
- Using Currency Futures for Exotics
- 50% Rule

Whenever you're doing relative strength analysis, you want to determine DXY's market profile first.

The reason you're doing this:

- Clear direction for the majors
- Should I switch to exotics?

How to determine DXY's market profile?

- IOF
- Market Structure
- Bonds



EXAMPLE OF IOF

Using PD Arrays

Bearish Arrays being formed and respected.



LIVING OFF CHARTS

EXAMPLE OF IOF

Using PD Arrays

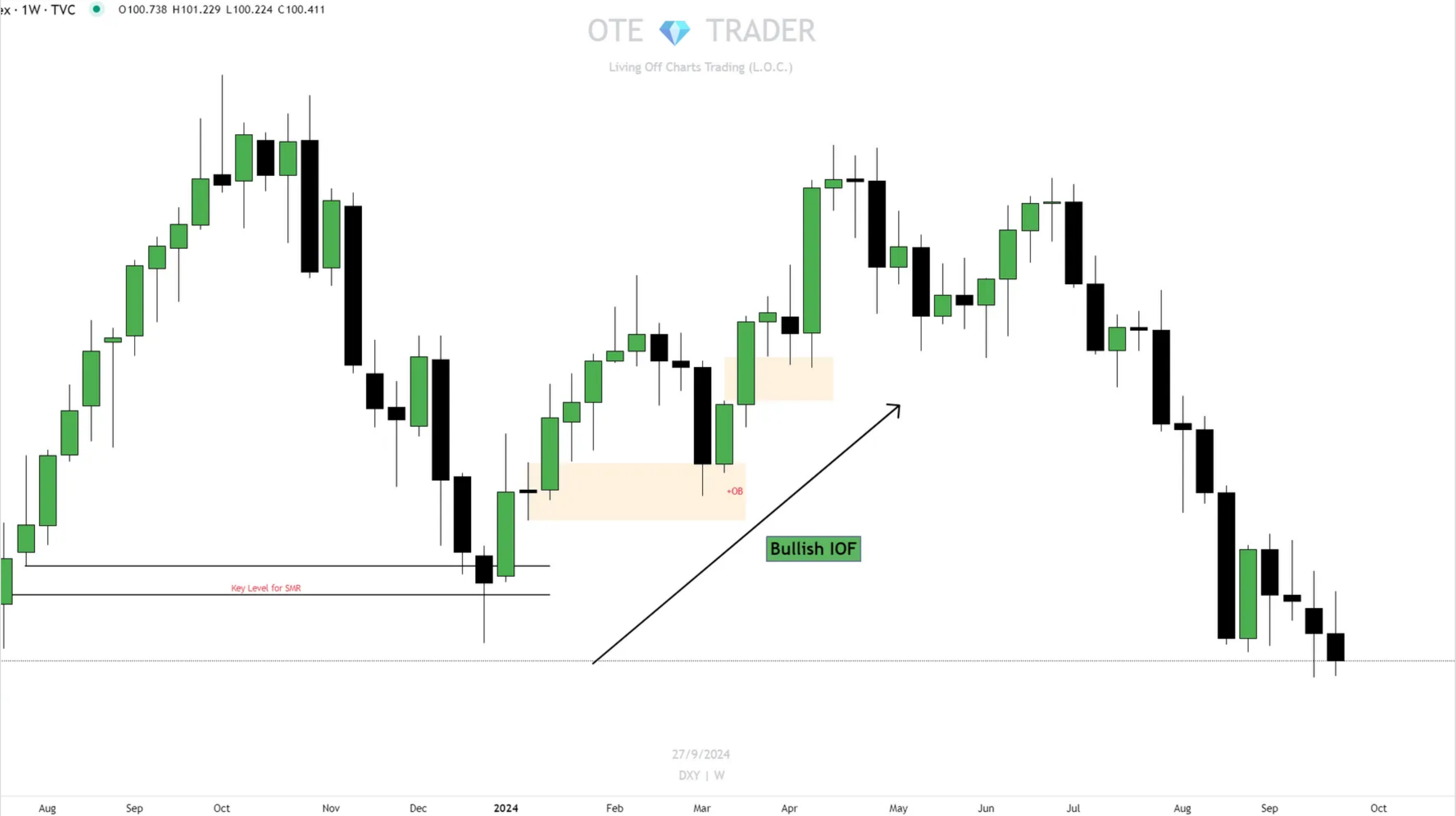
Bullish Arrays being violated and used as resistance.



EXAMPLE OF IOF

Using PD Arrays

Bullish Arrays being formed and respected.



EXAMPLE OF IOF

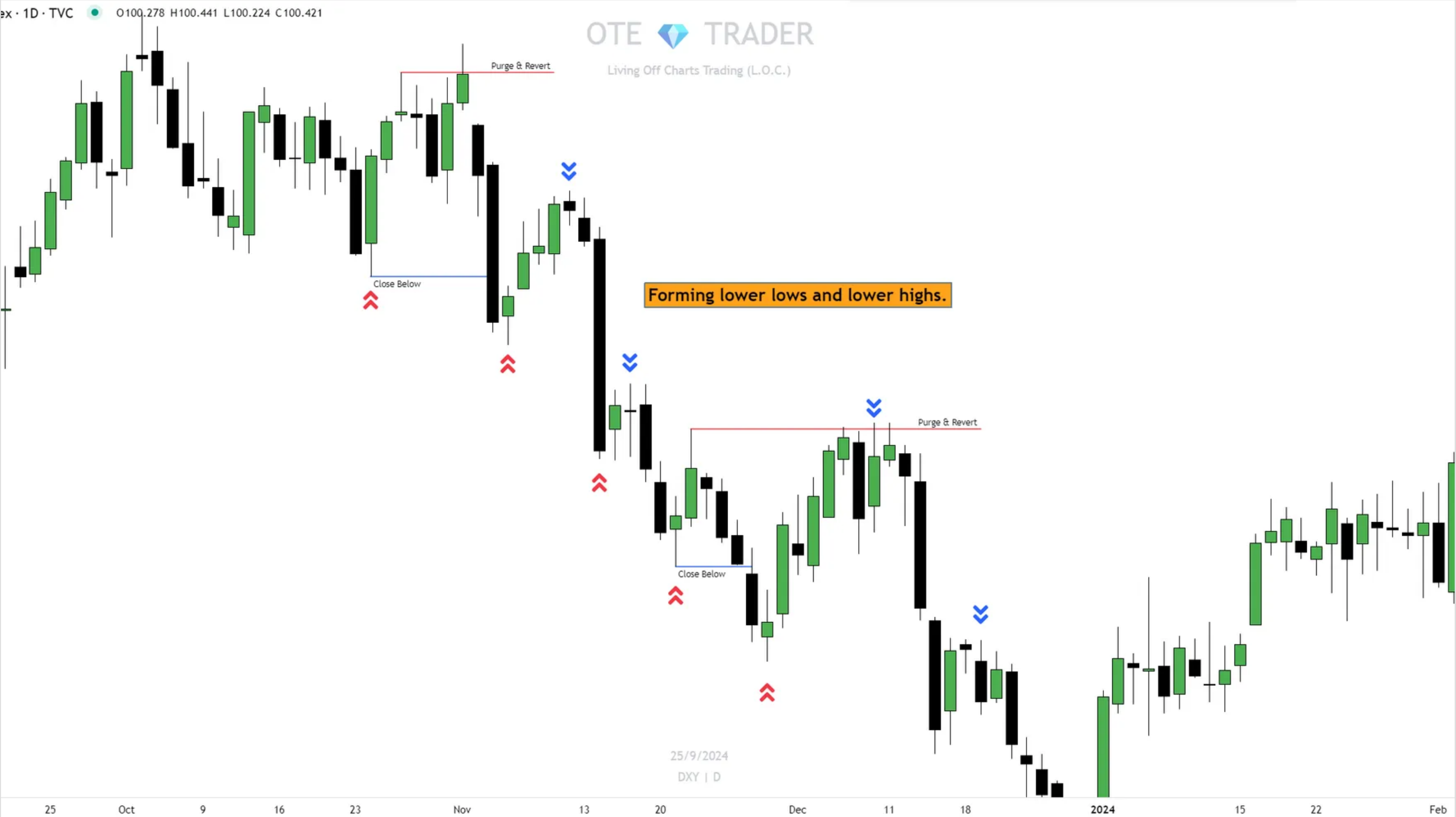
Using PD Arrays

Bearish Arrays being violated and used as support.



MARKET STRUCTURE

Using market structure for lower highs and lower lows, purges and revert on swing highs.

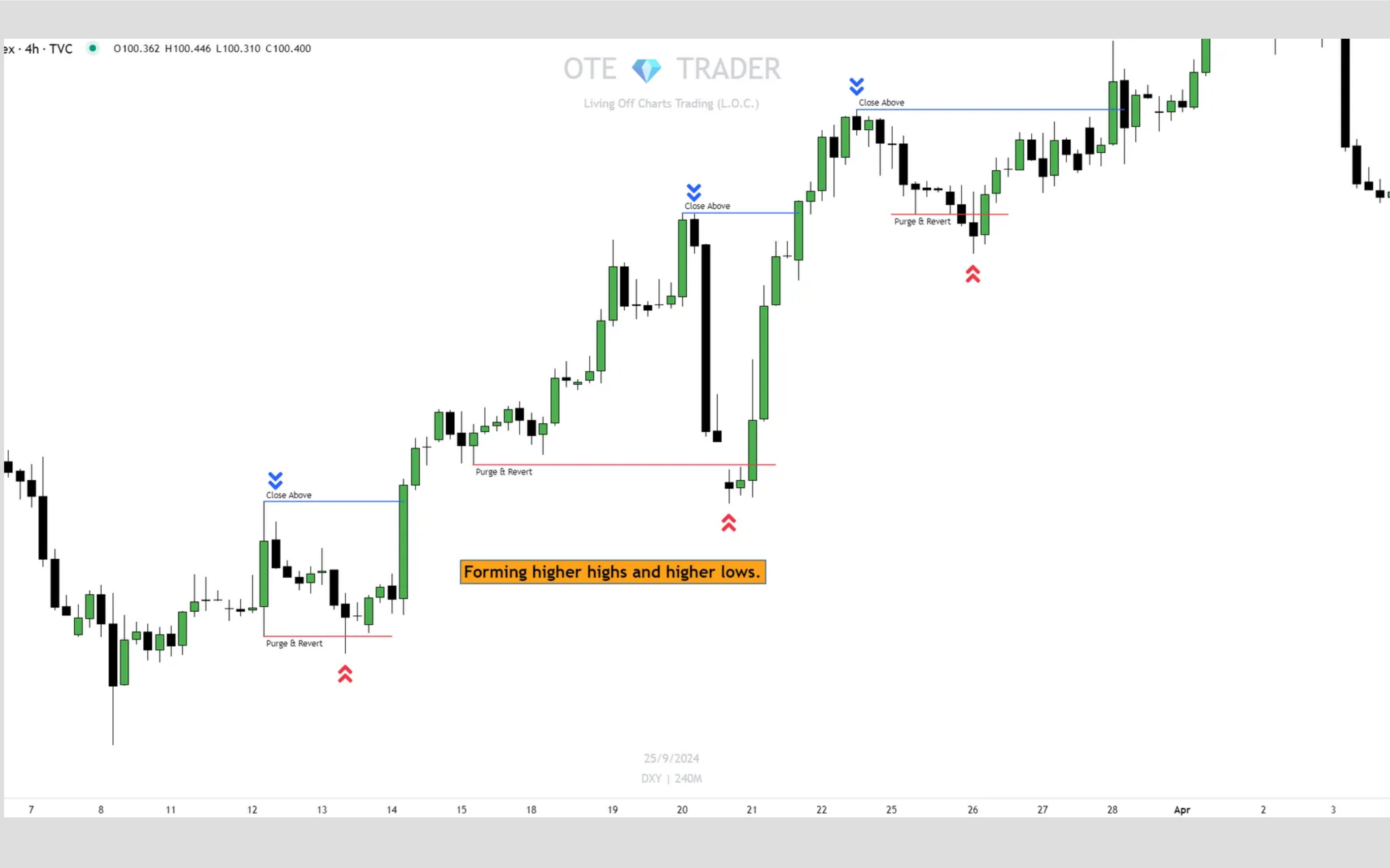


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DXY | D

MARKET STRUCTURE

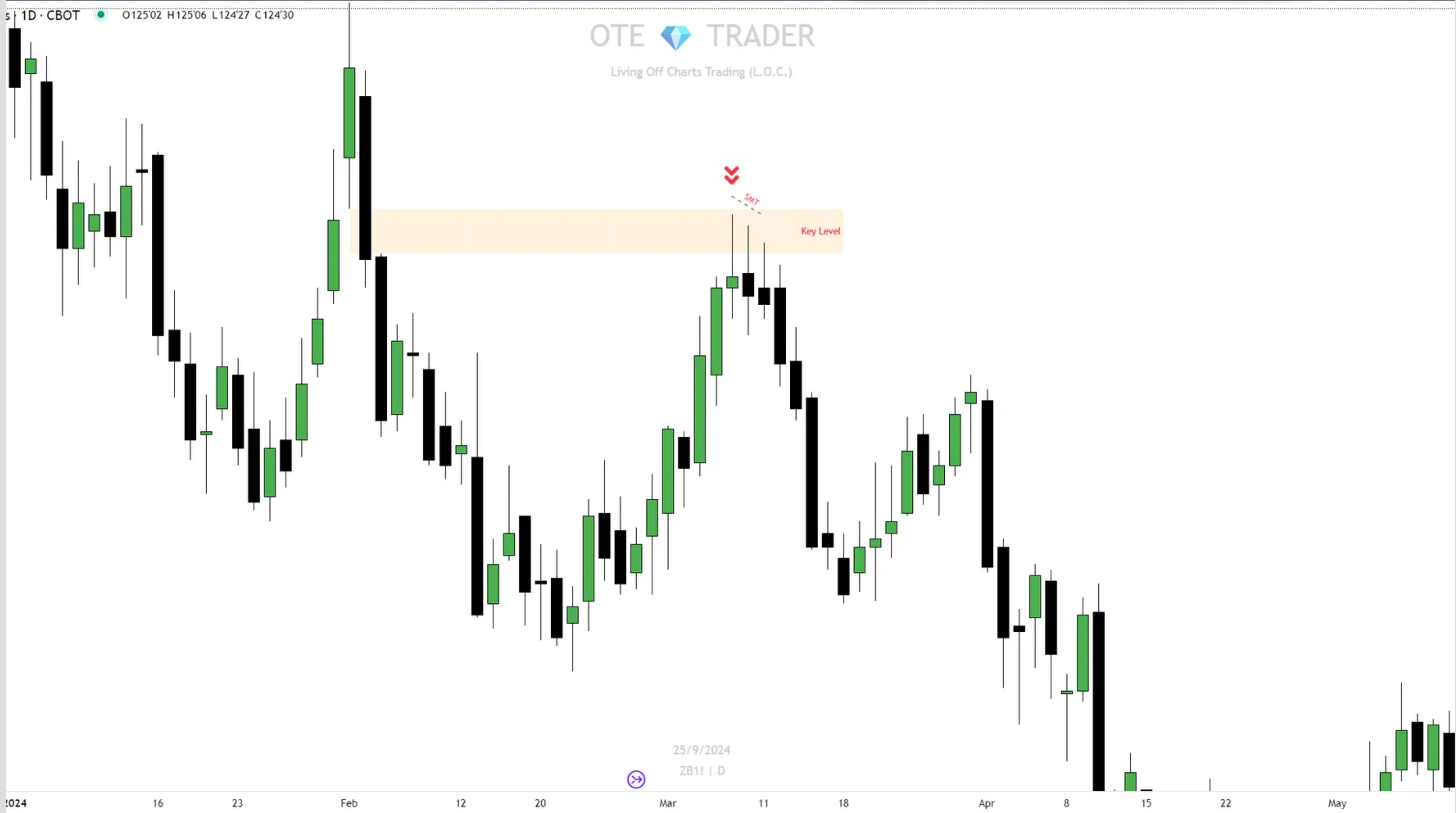
Using market structure for higher highs and higher lows, purges and revert on swing lows.



BEARISH BOND

Using bonds to solidify market direction. Using inversed IOF and synchronize key levels with DXY.

Determining the reversal point by lining up key levels with SMT.



BEARISH BOND

WITH DXY

Using bonds to solidify market direction. Using inversed IOF and synchronize key levels with DXY.

Determining the reversal point by lining up key levels with SMT.



BULLISH BOND

Determining the reversal point by lining up key levels with SMT.



BULLISH BOND

WITH DXY

Determining the reversal point by lining up key levels with SMT.

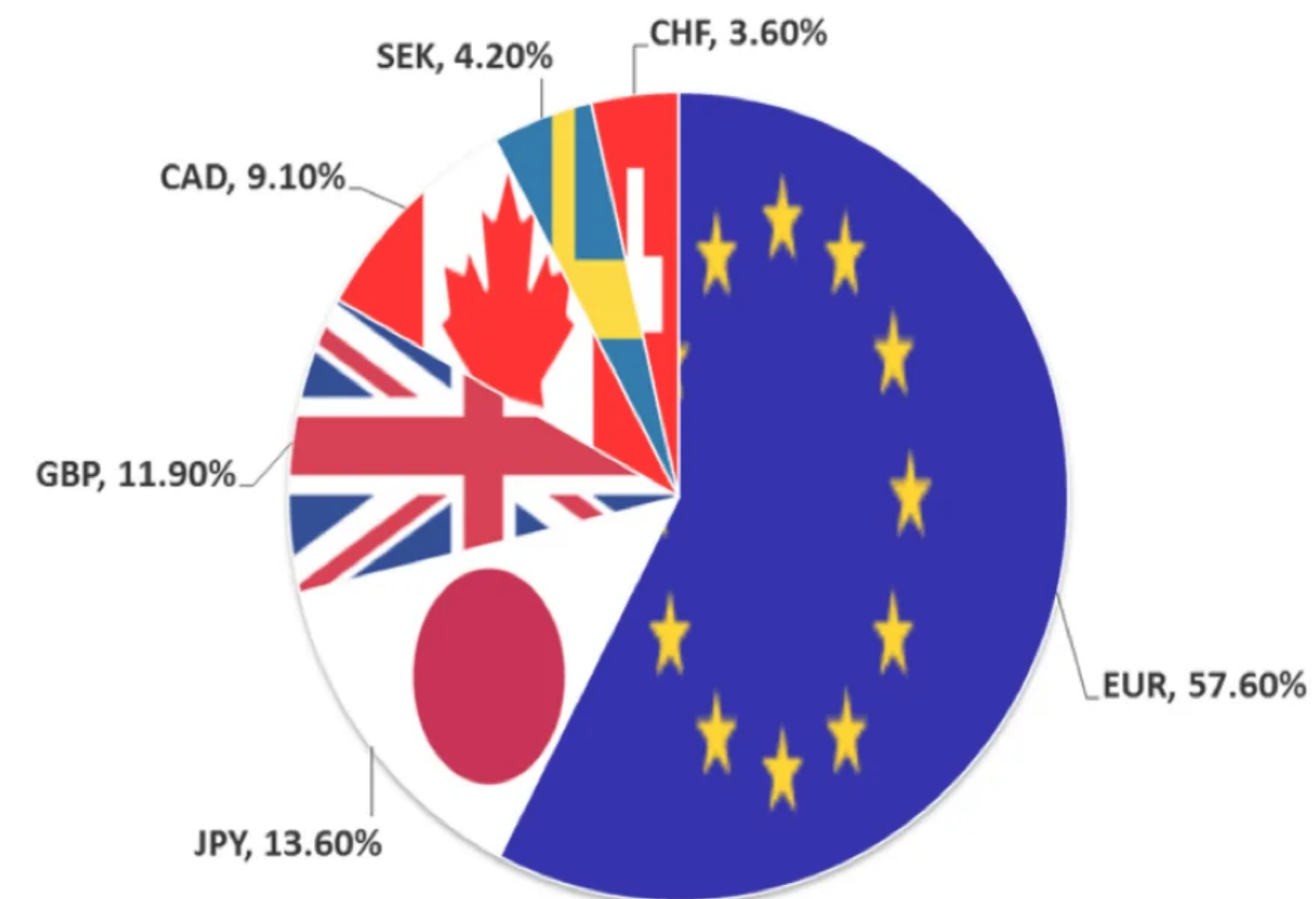




Major Trifecta:

- Includes EUR/USD, GBP/USD & DXY
- EUR/GBP will be used for relative strength

Be aware that EUR/GBP has a bigger influence on GBP/USD, because EUR is a bigger part of the DXY basket than GBP.

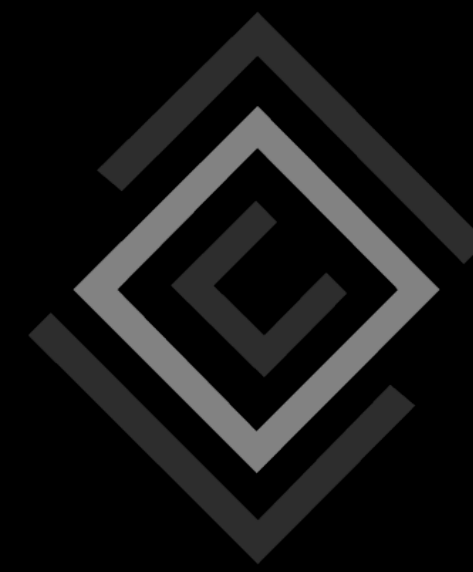


Schematics;

DXY ↑	EURGBP ↑	EURUSD ↔	GBPUSD ↓
DXY ↑	EURGBP ↓	EURUSD ↓	GBPUSD ↔
DXY ↓	EURGBP ↔	EURUSD ↑	GBPUSD ↑
DXY ↓	EURGBP ↑	EURUSD ↑	GBPUSD ↔
DXY ↔	EURGBP ↑	EURUSD ↑	GBPUSD ↓
DXY ↔	EURGBP ↑	EURUSD ↓	GBPUSD ↑

How to pick the correct major?

- Determine DXY HTF Bias
- HTF Analysis on EUR/GBP
- Difference between GBP/USD & EUR/USD



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DXY

Determine DXY HTF Bias:



EUR/GBP

HTF Analysis on EUR/GBP:



EUR/USD

r • 1D • SAXO ● 01.11795 H1.11989 L1.11781 C1.11798

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GBP/USD



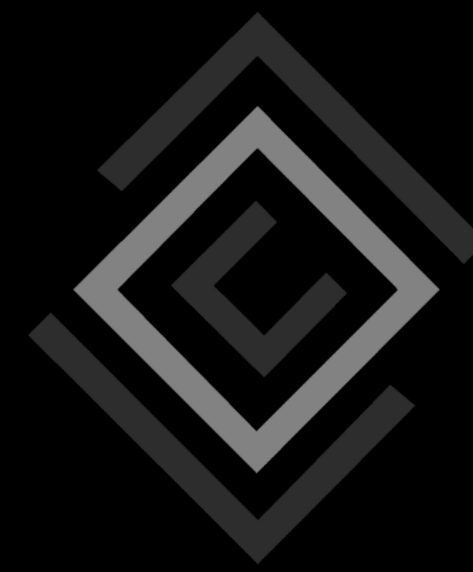
How to pick the correct major?

- **Using Currency Futures for Exotics**

You only look for this:

- **Strong** currency with **weak** currency
- **Strong** currency with **consolidating** currency
- **Weak** currency with **strong** currency
- **Weak** currency with **consolidating** currency

Ex. Strong with Weak (can be used for Weak vs Strong inversed)



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STRONG

ures • 4h • CME   O1.3379 H1.3384 L1.3364 C1.3369

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WEAK



RESULT

GBP/JPY

apanese Yen · 4h · FOREX.com 📈 ⬇️ O190.729 H190.824 L190.015 C190.088

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STRONG



CONSOLIDATING



RESULT

AUD/CAD



WEAK



CONSOLIDATING

res · 4h · CME O1.19880 H1.20045 L1.19875 C1.19970

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RESULT

CHF/JPY

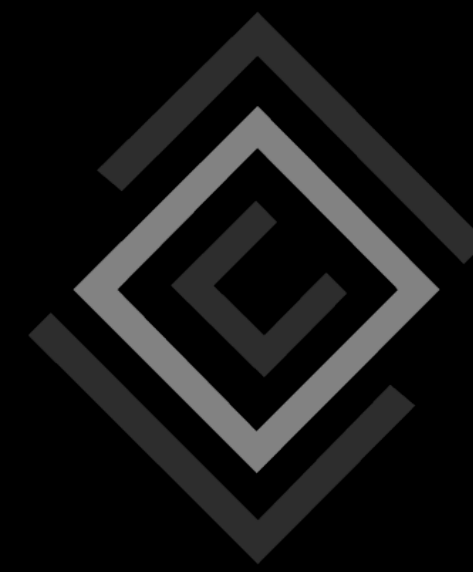


The 50% Rule

- If you're looking at DXY and you're not certain which way it will go, you can use all the combinations with that specific currency and determine if IOF on those pairs are above/below 50% for one direction.
- Example of this would be picking all the major xxx/USD combinations.
- If more than 50% of these USD pairs are reaching for Buyside liquidity, you can assume that DXY will trade towards sellside liquidity.

We will be looking at all 7 major pairs

- EUR/USD; GBP/USD; AUD/USD; NZD/USD; USD/CAD; USD/JPY; USD/CHF

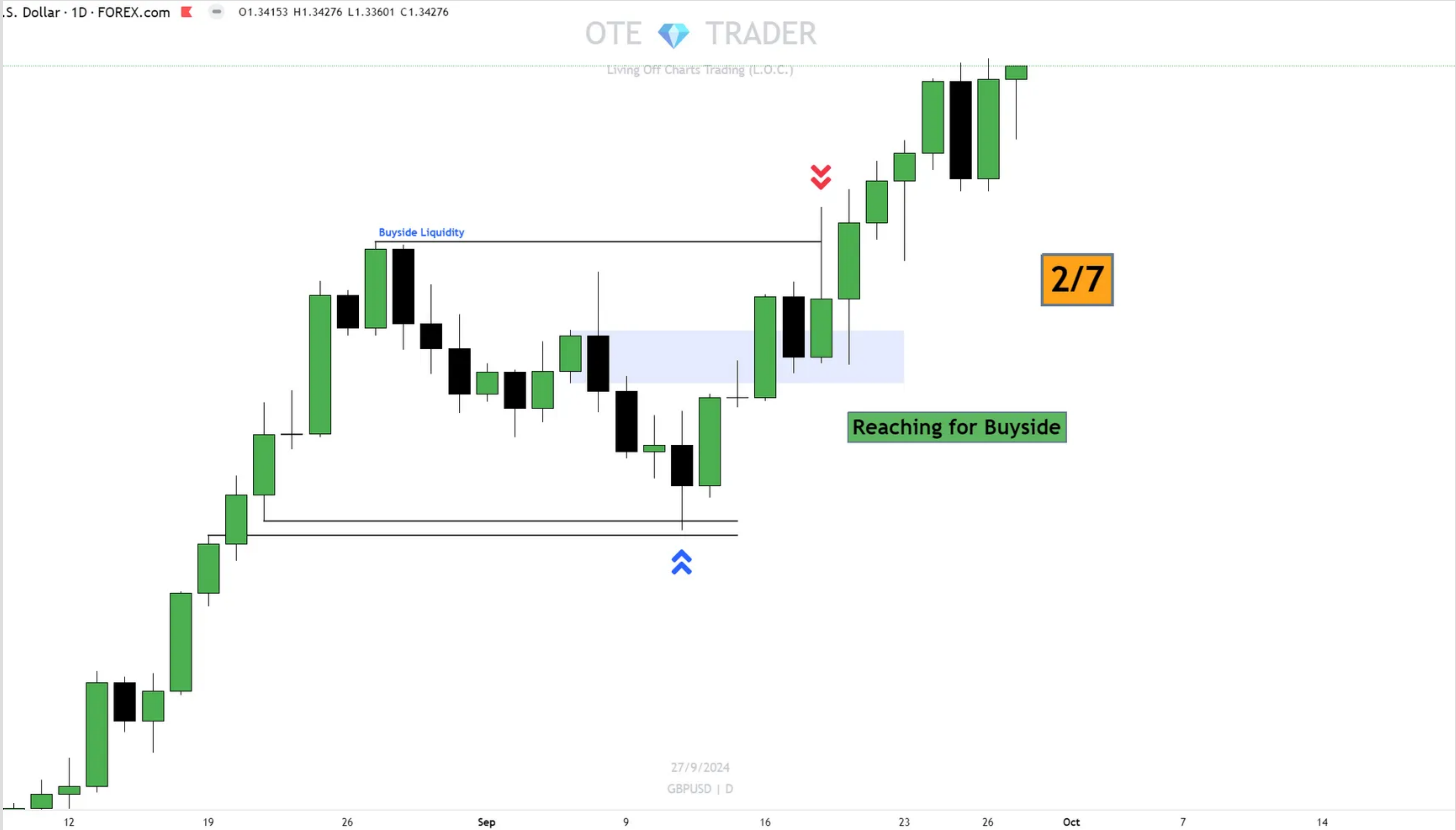


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EUR/USD



GBP/USD



AUD/USD

/ U.S. Dollar · 1D · FOREX.com

00.68958 H0.69375 L0.68683 C0.69375

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27/9/2024
AUDUSD | D

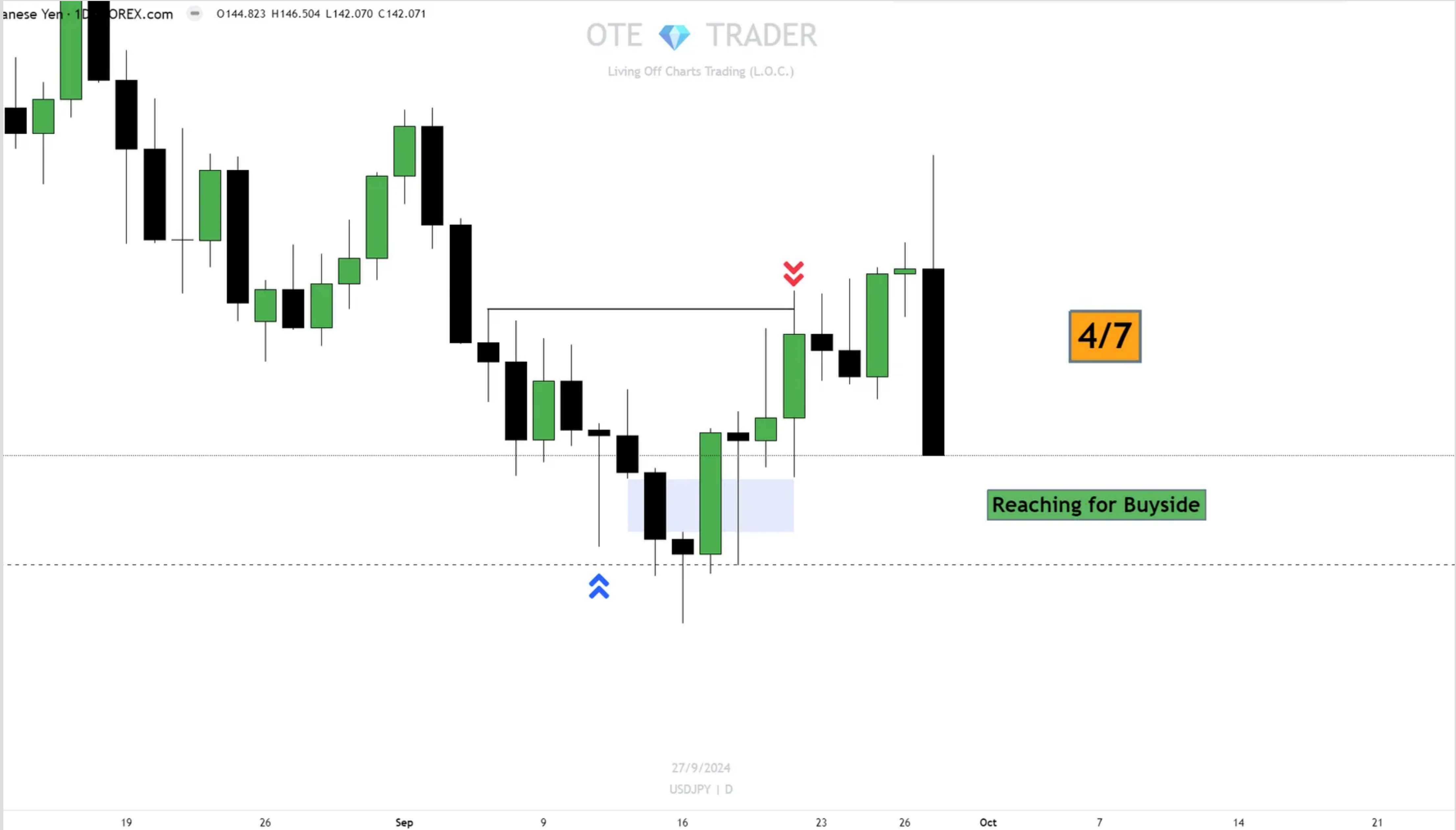
NZD/USD



USD/CAD

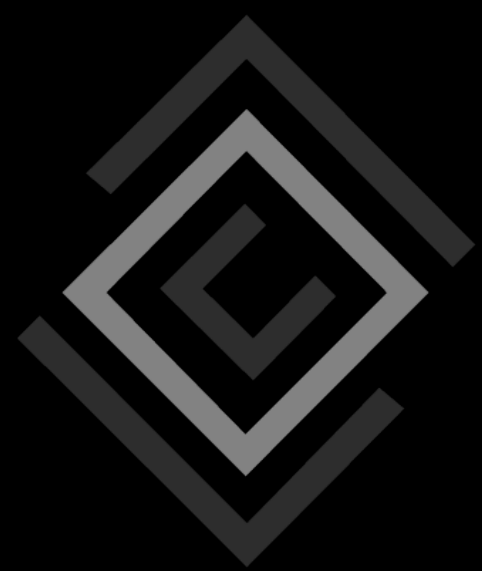


USD/JPY



USD/CHF





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The 50% Rule

We can see 5 out of the 7 (71%) dollar pairs here are reaching for dollar weakness. If we compare the DXY chart, even though it's chopping around, most likely it will deliver sellside liquidity as per the 50% rule.

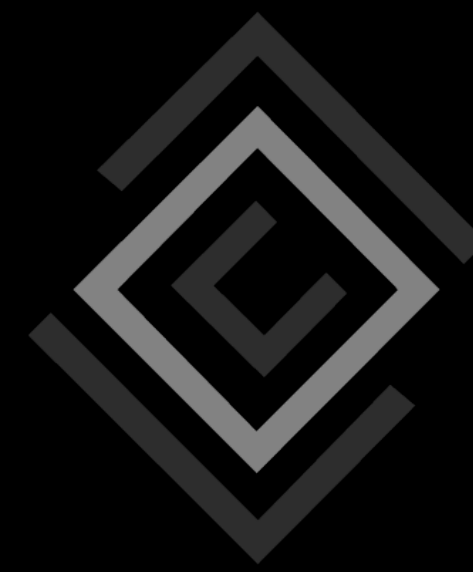
***AUD and NZD are not part of DXY, but can be a great indicator for relative strength.**

How to use the 50% rule with exotics?

- You do the same, but compare for example xxx/CAD pairs together.

We will be looking at all 7 pairs

- EUR/CAD; GBP/CAD; AUD/CAD; NZD/CAD; USD/CAD; CAD/JPY; CAD/CHF



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EUR/CAD

Dollar · 1D · FOREX.com  O1.50484 H1.50987 L1.50077 C1.50897

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Buyside Liquidity

1/7

Reaching for Buyside

Daily +08



27/9/2024
EURCAD | D

19

26

Sep

9

16

23

26

Oct

7

14

GBP/CAD



AUD/CAD



NZD/CAD



USD/CAD



CAD/JPY



CAD/CHF





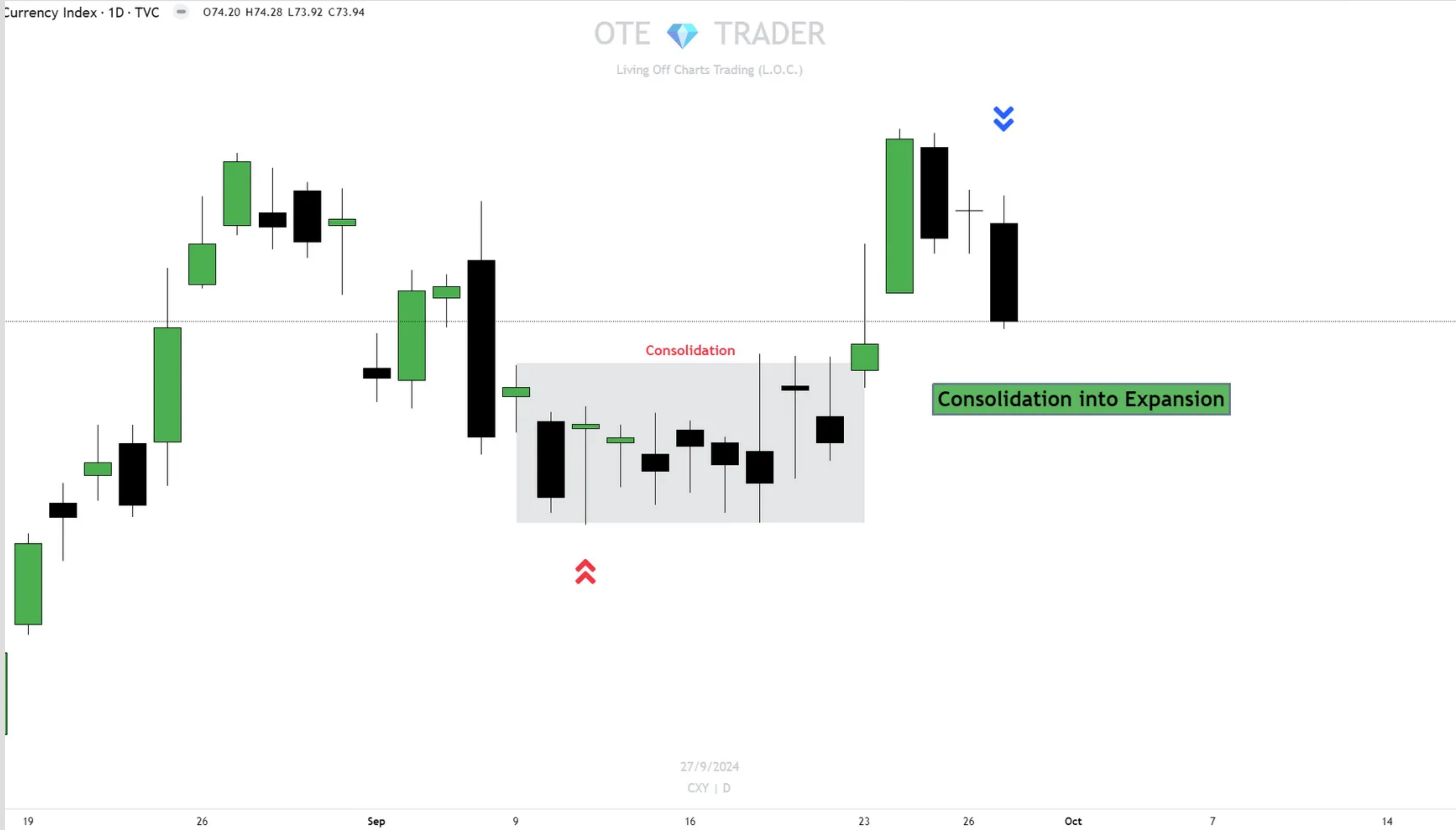
The 50% Rule

So in this example we can see 4 out of the 7 (57%) CAD pairs display CAD weakness, which is slightly higher than 50%.

So we can assume CAD is most likely to be consolidating.

You can notice on the September 23rd, most of the pairs had a correction for a stronger CAD, which is why consolidation went to expansion buy-side on CXY.

CXY





Link to the discord group below.